



Building Meesho's Consumer-to-Manufacturer (C2M) Base

FACTORY DIRECT

Screen manufacturers on price, not size, and let them make only what is already sold. **1,400 factories by Year 4 put ₹1,995 cr of NMV 8%-12% below market, for a five-year NPV of ₹75 cr on ₹22.2 cr of capped Year-1 cash.**

Team 23B0747

Add photo

Prathmesh Walimbe

Add photo

Krishna Kanta Mondal

Indian Institute of Technology Bombay

Live prototype: meesho-dice-c2m-iitb.vercel.app



Buyers follow price and 35% of MSMEs want online sales, but returns, stock risk and know-how keep factories offline

PRIMARY RESEARCH

Objective: a factory base that sells cheaper, and stays

Bring cost-advantaged factories onto Meesho through **Factory Direct**, and keep them.

As-is

Factory

Wholesaler +15%

Reseller

Buyer

Mark-ups stack before the buyer

Reseller's lowest viable price ₹220: 5.4% above market

Stock and returns sit with resellers

To-be

Factory

Pre-order

Factory Node

Buyer

No intermediary mark-up

Factory's lowest viable price ₹180: 13.8% below

Made only to confirmed orders

≈ ₹1,049 cr
a year

of wholesaler mark-up sits inside Meesho's nine C2M categories = ₹41,560 cr FY26 NMV [S3] × 40% in C2M categories [A6] × 6.3% mark-up share of price [A24]

Challenges to solve (page where we solve each)

Price discovery · p8

✓ Scale ≠ price
✓ List prices overstate demand

Unit operations · p5

✓ Pick, pack, ship per order
✓ Returns handled by the factory

Inventory & cash · p9

✓ Build-to-stock risk
✓ 45–60 day distributor terms

Demand & visibility · p7

✓ No reviews at the start
✓ District demand unknown

Retention · p7, p11

✓ Gap decays after the badge
✓ Quality slips with price

5 barriers → 6 levers, each owned by a Meesho team (pages 4–9)

Three data sets: why factories quit, what buyers pay, what buyers would trade

2,365

ICRIER MSME survey [S4]

Why firms that tried e-commerce quit (% of quitters)

Lacked knowledge

Product returns

Platform charges

High competition

Tech / inventory skills

Not profitable

Not enough staff

Stock capacity

43%

43%

42%

40%

39%

35%

33%

30%

Coral = operational: a node and batches remove them. 1 in 5 that joined quit; 35% still want to join.

279

Team teardown, meesho.com [S10]

Live listings, 5 product types, 2 Oct 2026

■ listings ■ reviews (demand) · briefs, n = 56

43%

24%

1%

26%

5%

0%

<200

200–249

250–299

300–399

400–599

600+

Under ₹200: 11% of listings, 43% of reviews. Buyers pay 3–37% below listing medians.

n

Team buyer survey

Meesho buyers, last 3 months (kit: research/13)

[FILL: Q6–Q8 price ladder: % choosing 7–8 day delivery at ₹10 / ₹20 / ₹40 off · Q9 % paying in advance · Q10 trust in “Sold directly by the manufacturer” · base n on each chart]

[FILL: takeaway: the majority answer and its implication]

Manufacturer interviews: what blocks them, by cohort (Round 1, 8 per cohort)

24

owner interviews, cohorts A, B, C

Barrier (severity)	Fulfilment	Inventory risk	Returns, RTO	Unproven demand	Cash cycle	Channel conflict
Cohort A	HIGH	HIGH	HIGH	HIGH	MED	HIGH
Cohort B	LOW	MED	MED	MED	LOW	HIGH
Cohort C	MED	HIGH	HIGH	HIGH	MED	LOW
Meesho can fix	YES	YES	YES	YES	PARTLY	PARTLY

Stakeholders' voice: published owner and leader interviews (verbatim, ≤ 25 words)

Stakeholder	Opinion (verbatim)	Problem	Problem area	Suggestion for Meesho
VM Navamani, MD, Cossmo Tex (Tiruppur) [S21]	"Currently, domestic business is about 20%, and we are planning to increase it to 35–40% ... because export markets are mostly volatile."	Export orders swing with tariffs	Demand	Pitch C2M as a permanent domestic hedge, not a rescue
Ashwin Kumar, Managing Partner, NASA Impex (Tiruppur) [S21]	"Orders of around 100 pieces tend to double costs ... so 500 pieces is our preferred minimum."	Small runs cost twice as much per piece	Operations	Demand Brief pools district demand into batches of 500+
Vinod Dhamija, Chairman, HCCI Panipat chapter [S9]	"Panipat's exports had shrunk by 50 per cent, while the domestic market had also been disturbed very badly."	Idle looms, weak domestic orders	Demand, cash	Panipat is pilot cluster 2; 30% paid at handover
Vidit Aatrey, CEO, Meesho (Q4 FY26 call) [S2]	"If their quality is not that great, they do not get visibility for orders."	New sellers start with no orders	Visibility	Impression grants for new factories, not order subsidies

Decision: build Factory Direct around the operational barriers (returns, stock risk, unit shipping, cash), not discounts. Owner: Category + Product.

Sources: S2 Q4 FY26 call · S3 FY26 results · S4 ICRIER 2025 · S9 The Tribune · S10 team teardown, 2 Oct 2026 · S21 Apparel Resources · S22 Round 1 interviews | Assumptions: A6, A22–A24 | Survey kit and method: Appendix B

2

11,645 manufacturers can carry a real price gap; offline B2B factories (8,400) in hosiery and home textiles go first

SEGMENTATION

Segment evaluation: 12 category segments × 4 cost metrics (weighted)

Segment (category)	Cluster	Floor 40%	Idle 20%	Returns 25%	Freight 15%	Score
Saree & dress material	Erode, Bhiwandi	✓	✓	✓	✓	5.0
Home textiles	Panipat, Solapur	✓	✓	✓	—	4.7
Moulded plastics	Rajkot, Daman	✓	✓	✓	—	4.7
Hosiery & innerwear	Tiruppur, Ludhiana	✓	—	✓	✓	4.6
Imitation jewellery	Rajkot, Coimbatore	✓	✓	—	✓	4.5
Basic footwear	Agra, Bahadurgarh	✓	✓	—	✓	4.5
Steel kitchenware	Jagadhri, Wazirpur	✓	—	✓	—	4.3
Brass décor	Moradabad	✓	✗	✓	—	3.9
Bags	Nangloi, Kolkata	—	✓	—	✓	3.7
Fitted western wear	Gandhi Nagar, Bengaluru	—	✓	✗	✓	3.2
Electronics accessories	Import-assembly	✗	✓	—	✓	2.9
Ethnic wear	Surat	✗	✓	✗	✓	2.4

Rows 10–12 fail two tests: not now. Floor ✓ = factory cost ≥ 12% under the demand-weighted median; Returns ✓ = low return band; Freight ✓ = light for its value.

Market sizing: TAM → SAM → SOM (firms)

4.72 cr

5.28 lakh

1.85 lakh

55,451

19,408

11,645

1,400

1.1%

35%

30%

35%

60%

12%

Udyam-registered MSMEs

Above micro (small + medium)

In manufacturing

Make Meesho's categories

Own 3+ of 4 cost levers

Inside the 12 screened clusters

Active C2M sellers by Year 4

TAM 55,451 make Meesho's categories · SAM 11,645 own ≥ 3 of 4 cost levers in the 12 clusters · SOM 1,400 active by Year 4 (12%) = ₹1,995 cr run-rate NMV

Target manufacturer personas (cohort score out of 5)

Export-hit knitwear owner

Cohort A · Tiruppur

₹10–50 cr turnover · Cohort A = 72% of SAM ≈ 8,400 firms

4.35

Owns cost levers

Made to order

Cash-tight

Needs: Orders confirmed before cutting fabric · No pick-pack-returns team needed · Cash faster than 45–60 day terms

Reach: Association camps, 40–60 units each

Domestic home-textile maker

Cohort A · Panipat

Exports ~50%, domestic ~35% this year [S9]

4.35

Low returns

Bulky SKUs

Idle looms

Needs: Steady domestic orders · Bulk freight to the node · Price check before listing

Reach: HCCI Panipat chapter; Udyam lists

Churned Meesho manufacturer

Cohort C · Ludhiana, Surat

Cohort C = 9% of SAM ≈ 1,050 firms

3.55

KYC on file

Burnt by returns

Catalogue dormant

Needs: Returns capped at the node · Orders in the first 30 days · Penalty-free re-entry

Reach: Dormant-seller list; one WhatsApp re-invite

Online-elsewhere D2C maker

Cohort B · metros

Cohort B = 19% of SAM ≈ 2,200 firms

3.05

Brand-led

₹800+ baskets

GST + catalogue done

Needs: Value-tier SKUs, not discounts · Tier-2+ reach · No brand dilution

Reach: Seller agencies; price-check link

Least likely to adopt

Surat ethnic-wear traders

✗ Job out weaving and stitching: no cost ownership

✗ Worst return band; cluster AHP last (3.28)

Import-assemblers

✗ Electronics accessories: cost set by imports

✗ Any price gap must be funded: a subsidy

Fitted western-wear makers

✗ Size returns swallow the cost edge

✗ ₹150 fee on every return [S11]

Premium D2C lines (Cohort B)

✗ Brand dilution at a ₹265 order value

✗ The one barrier Meesho cannot fix

Recommendation to Meesho

✓ Focus on Cohort A in hosiery (Tiruppur) and home textiles (Panipat): top cost edge, low returns.

✓ Re-invite Cohort C in parallel: KYC and catalogues already on file.

✓ Offer Cohort B a separate value-tier range, never a discount on brand lines.

✓ Screen every seller on price, not turnover: 7 of the 10 largest prototype sellers fail.

Decision: target Cohort A in hosiery and home textiles first, re-invite Cohort C in parallel, offer Cohort B value-tier only. Owner: Category · KPI: 60 factories catalogued by Day 60.

Sources: S5 MSME limits · S7 Udyam · S9 · S20 category mix · S22 Round 1 (12-category screen, 24 interviews, cohort split) | Rubrics: Appendix C | ✓ = 5, — = 3, ✗ = 1 | Personas are composites, not real firms

3

AWARENESS & STRATEGY

4

Of three ways to bring factories online, only Factory Direct removes unit operations, stock risk and returns within FDI rules

MODEL COMPARISON

1 • Open marketplace (factory self-ships)

The factory lists, then packs, ships and takes back every return itself.

Factory

Packs each order

Courier

Buyer

› Factory does: list, pack, ship, take back returns

› Platform does: storefront, payments, courier

› Result: lowest viable price ₹194, 7.2% below: fails the 8% gate

Who runs it: Meesho today • Amazon • Flipkart

2 • Fully managed (platform buys and holds stock)

The factory sells stock to the platform, which prices, stores and ships it.

Factory

Platform buys

Platform warehouse

Buyer

› Factory does: make to the platform's purchase order

› Platform does: buy, price, store, ship, handle returns

› Result: not allowed: an FDI marketplace may not own seller stock [S19]

Who runs it: Temu (fully managed) • Shein

3 • Factory Direct (seller-owned stock at a node)

The factory makes confirmed pre-orders and drops them in bulk; a partner node ships and takes returns.

Factory

Pre-order batch

Factory Node

Buyer

› Factory does: make confirmed batches, keep title

› Node and Meesho do: pick, pack, ship, returns; demand data, gate

› Result: lowest viable price ₹180, 13.8% below: clears the gate

Who runs it: Temu semi-managed • Pinduoduo • Taobao C2M

Comparison of C2M operating models (✓ removes the barrier • - partly • ✕ no)

Strategy considered	Advantages	Disadvantages	Unit ops	Stock risk	Returns	FDI-legal	Low capex
1 • Open marketplace	No capex; the factory keeps control	Needs a packing and returns team; builds stock blind; ₹72 logistics per pack	✕	✕	✕	✓	✓
2 • Fully managed	The factory only makes; the platform runs everything	Platform owns inventory: barred for FDI marketplaces (Press Note 2); price-squeeze risk	✓	✓	✓	✕	✕
3 • Factory Direct	Node runs unit ops; batches only for confirmed orders; seller keeps title	Needs node partners (₹1.3 cr each) and a 7-8 day pre-order wait	✓	✓	✓	✓	-

What a tick means: the model takes that barrier off the factory entirely (unit ops, stock risk, returns), is allowed for an FDI-funded marketplace, or needs under ₹2 cr of Meesho capex per cluster.

Temu: moved US sellers to semi-managed: 20% of US GMV by Q3 2024 [S16]

Shein Brazil: 336 of 2,000 factories signed; 1 still producing after price-cut asks [S17]

Meesho Valmo: started as a capped H2 bet; now 50-55% of deliveries [S1, S2]

Costs considered per model (₹ per 3-pack kept)

Cost line	Self-ship	Factory Direct
Logistics (forward + pack / node)	72.4	68.4
Unsold stock	5.6	0.9
Working capital	2.2	0.4
Returns (₹150 each)	13.0	13.0
Lowest viable price	₹194	₹180

› Fully managed: not costed; an FDI marketplace may not own seller stock [S19].

› Meesho's cost: ₹1.3 cr set-up per partner node; 12 nodes by Year 4 (page 10).

› Node fee: ₹20 a unit (pack ₹6, handle ₹9, bulk freight ₹5) vs ₹24 for SMB fulfilment [S12].

Decision: build Factory Direct (seller-owned stock at partner nodes plus prepaid batches); Meesho never takes title to stock. Owner: Valmo + Legal • KPI: zero inventory-control findings.

Sources: S1, S2 (Valmo 50-55% of deliveries), S16 Temu semi-managed, S17 Shein Brazil, S19 Press Note 2 (marketplace may not own or control seller inventory), S23-S25 | Costs per pack from the unit-economics table (page 9, Appendix C)

5

Pinduoduo, Taobao, Temu and Shein built C2M on demand data and small batches; RICE puts the ₹0 price gate first

BEST PRACTICES

Best practices: five platforms × five dimensions

Parameter	Pinduoduo NBI · China	Taobao C2M · China	Temu semi-managed	Shein on-demand	Shein Brazil (avoid)
Strategy used	Anonymised demand data to factories	Factory-direct value app (Taobao Deals)	Merchant stock in local warehouses; platform storefront	Test every product in a small first batch	Local factories asked for ~30% price cuts
Scale (dated)	900+ factories, 2,200+ custom SKUs, 115 mn+ orders, end-2019 [S15]	Target 10 bn new orders in 3 yrs, 2020 [S23]; 280 mn buyers, 2021 [S24]	20% of US GMV, Q3 2024; +80,000 merchants planned [S16]	100-200 item first runs (2024) [S25]	336 of 2,000 signed; 1 producing, Feb 2026 [S17]
Data and tech	Search and order data, anonymised	Consumer insight for product R&D	Platform pricing and traffic	Real-time sell-through decides restocks	Demands without demand data
Risk-sharing	Factory keeps its brand; co-developed SKUs	Alibaba finance arms lend to factories	Merchant holds stock and returns risk	Shein absorbs the test-batch risk	Factory bears all cost of the cuts
Meesho copies	Demand Brief	NBFC batch prepayment	Seller-owned node stock	Confirmed-order batches	Never ask for price cuts

Pattern: every winner gave factories demand data or finance before asking for anything; the one failure asked for price cuts and gave nothing.

Benefits analysis of Factory Direct (master model)

-13.8%	2.3×	~11 days	-4.7 pts	₹5.8	2%
buyer price vs the ₹209 market (briefs)	factory margin a pack: ₹18.3 vs ₹7.9 ex-factory	cash cycle vs 45-60 days on distributor terms	failed deliveries per C2M order (prepaid pre-orders)	Meesho value per C2M order (page 10)	unsold stock vs 10% building to stock

Inspiration: what we copy, in order

Measure the gap

Share demand

Batch on orders

Stock near buyers

Pinduoduo/Taobao → Pinduoduo → Shein → Temu

Potential pitfalls and our guardrail

✗ Price squeeze (Shein Brazil): the gate measures a gap that exists; no price asks

✗ Platform-owned stock (Temu full-managed): seller keeps title; the node is an arm's-length 3PL

✗ Order subsidies: impressions, never rupees per order

✗ Capex before demand: no node before the Day-30 gate

R.I.C.E. prioritisation: score = reach × impact × confidence ÷ effort

Lever	Reach	Impact	Conf.	Effort	Score	Yr-1
1 · Price gate + C2M badge	900	★★☆	90%	2 p-m	810	₹0
2 · Health Score + rulebook	900	★★☆	85%	3 p-m	510	₹0
3 · Cluster co-op onboarding	810	★★☆	85%	3 p-m	459	₹5.0 cr
4 · District Demand Brief	900	★★☆	75%	4 p-m	338	₹6.0 cr
5 · Prepaid pre-order batches	765	★★★	70%	5 p-m	321	₹0
6 · Factory Node (partner 3PL)	900	★★★	80%	8 p-m	270	₹7.8 cr
7 · Batch prepayment (NBFC)	675	★★☆	70%	4 p-m	236	₹0.2 cr
8 · Returns firewall pool	630	★★★	65%	6 p-m	205	₹3.0 cr

Sequence: diagnostic and free first, capital last. RICE order already respects dependencies: batches need the brief, prepayment needs batches, the firewall needs the node.

Decision: build in RICE order (price gate → Health Score → co-ops → Demand Brief → batches → node → prepayment → firewall); never ask a factory for a price cut. Owner: Strategy.

Seven stages, each with a trigger, a non-cash nudge and a KPI, turn first batches into repeat factories without subsidy

JOURNEY & SCALE-UP

Manufacturer journey: actions, touchpoints, emotions, pain points, interventions, KPIs

Stage	When	Manufacturer action	Touchpoint	Feels	Pain point	Meesho intervention (automatic)	KPI target
Discover	D-30	Hears of it at an association camp	Camp, WhatsApp	Sceptical	"Platforms mean returns"	Live price check at the camp	Camp → price check ≥ 60%
Qualify	D-7	Enters making cost	Supplier app	Hopeful	Unsure of the real market price	Gap vs the demand-weighted median	Qualified → listed ≥ 50% in 30 days
First batch	D0-5	Commits a prepaid batch	Demand Brief, node	Anxious	Fear of unsold stock	Make orders + 15%; 30% advance	First batch ≤ 14 days
Activate	D0-14	Watches first orders	Score card	Worried	No reviews, slow orders	Starter impressions; +25K grant if < 60%	≥ 60% of cohort orders at D7, D14
Diagnose	Daily	Reads the weekly score	Health Score	Informed	Unclear what to fix	One rule-based fix at a time	Days to recover
Graduate	D30+	Scales batches	Prepayment	Confident	Working capital	Prepayment at score ≥ 80 for 30 days	≥ 40% graduated by D60
Retain	D60+	Repeats; refers peers	Weekly brief, Mall	Loyal	Export orders return	Weekly brief; Meesho Mall path	Active at D90 ≥ 75%

Incentives (non-cash) and nudges, stage by stage

Stage	Incentive	Nudge
Discover	Free price check	Peer stories at the camp
Qualify	C2M badge + re-rank	Your gap vs the market
First batch	30% cash at handover	Batch size from the brief
Activate	+25K impressions × 7 days (max 2)	WhatsApp: grant applied
Diagnose	Fix suggestions	One fix, not ten
Graduate	Prepaid batches unlocked	Graduation progress bar
Retain	Meesho Mall path	Top-factory list at camps

Seller Health Score: 0-100, daily

30%

Price gap held

25%

Order pace vs cohort

20%

Quality returns

15%

On-time dispatch

10%

In-stock

≥ 80 for 30 days → graduate • < 40 after a fix → a person

Rulebook: 9 automatic actions, 1 human

Signal	Action
Orders < 60% at D7/D14	Grant
Gap < 8% for 7 days	Price nudge
Gap < 4% for 3 days	Badge off
Returns > 1.5× norm	QC hold
On-time < 90% (7 days)	Node offer
In-stock < 70%	Restock nudge
Score ≥ 80 × 30 days	Prepayment
Score < 40 after a fix	A person

Grants scale; people don't

90:3

automated vs human actions in the 60-seller simulated pilot

~910 sellers per category manager; 1,400 sellers need ~2 reviewers, not ~70 account managers. Grant cost: ₹3,750 per seller at most, 20× cheaper than ₹10 an order for 30 days.

Channels: WhatsApp, voice agent, supplier app (prototype)

Price check

Demand Brief

WhatsApp nudge

Decision: switch on grants, the Health Score and the rulebook with the first 60 sellers; cap grants at 20% of category impressions. Owner: Growth + Data Science • KPI: active at D90 ≥ 75%.

Tiruppur and Panipat top the cluster AHP (CR 0.016); factories qualify only with 60% of SKUs 8% below market

CLUSTER CRITERIA

Selection criteria and reasoning

Criterion	Reasoning	Data source
Cost ownership	Own raw material, production, scale, automation → a real price edge	Round 1 cost-lever index
Demand on Meesho	The category already sells at volume on Meesho	Teardown [S10]; category mix [S20]
Returns band	Low returns protect the cost edge	Return math; seller guides [S11]
Node feasibility	A partner warehouse and a Valmo lane nearby	Valmo network [S2]
Institutional partner	An association that recruits 40–60 units a drive	Tiruppur, Panipat bodies [S8, S9]

AHP pairwise matrix (CR 0.016 < 0.10: consistent)

Criteria		C1	C2	C3	C4	C5	Geo. mean	Weight	Rank
Cost ownership	C1	1	1	2	3	4	1.89	0.338	1
Demand on Meesho	C2	1	1	1	2	3	1.43	0.256	2
Returns band	C3	1/2	1	1	1	2	1.00	0.179	3
Node feasibility	C4	1/3	1/2	1	1	2	0.80	0.144	4
Institutional partner	C5	1/4	1/3	1/2	1/2	1	0.46	0.083	5

Cluster scoring → choice

Criteria	Weight	Tiruppur	Panipat	Ludhiana	Rajkot	Surat
Cost ownership	0.338	5	5	4	4	2
Demand on Meesho	0.256	5	4	3	3	5
Returns band	0.179	4	5	4	5	2
Node feasibility	0.144	4	4	4	3	5
Institutional partner	0.083	5	4	4	3	3
Score · rank		4.68 · #1	4.52 · #2	3.74 · #3	3.70 · #4	3.28 · #5

Robust: Surat overtakes Panipat only if the demand weight rises from 0.26 to 0.67; equal weights keep the order.

Live teardown: what buyers really pay (279 listings, index 100 = demand-weighted median)

Steel glasses, set of 6
n = 55 · buyers pay ₹262

Men's briefs, 3-pack
n = 56 · buyers pay ₹209

Bedsheet + 2 covers
n = 56 · buyers pay ₹325

Ankle socks, 5-pack
n = 56 · buyers pay ₹128

Bath towel
n = 56 · buyers pay ₹227

Price gate: assumptions → calculation → result (men's briefs, 3-pack)

Assumptions

Listing median ₹322.5 [S10]
Demand-weighted median ₹209 [S10]
Gate: SKU ≥ 8% below median
Badge: ≥ 60% of live SKUs clear
Sellers above ₹5 cr GMV
Seller with > 30% of a set's orders scored without its own orders
SKU needs ≥ 10 delivered orders to count
Re-scored weekly; badge off below a 4% gap

Approach 1: listing median

gate = ₹322.5 × 0.92 = ₹296.7
24 of 56 listings clear (43%)
Too loose: the badge would sit on 4 in 10 listings, including resellers.

Approach 2: demand-weighted median

gate = ₹209 × 0.92 = ₹192.3
6 of 56 listings clear (11%)
Only real cost edges clear: the badge means something.

Result: factory floor ₹180 → 13.8% below ✓ · reseller ₹220 → -5.4% ✗

Prototype verdict (180 sellers > ₹5 cr)	Sellers	Action
C2M-ready	62	Badge + re-rank + Demand Brief
Scale without price	84	No badge; value-tier SKUs
Loss-leader pattern	18	No badge; catalogue gate holds
Near miss	16	Node offer; re-score in 28 days

Decision: pilot in Tiruppur and Panipat; run the price gate on demand-weighted medians in weeks 1–3 at ₹0 capex. Owner: Category + Pricing · KPI: badge lift ≥ 12% vs holdout by Day 30.

A prepaid 3-pack costs ₹164 vs a reseller’s ₹200.5; of the ₹45 freed, buyers get ₹26.7 and the factory ₹18.3

UNIT ECONOMICS

Unit economics per 3-pack kept, one change per column (Tiruppur men’s briefs)

	Reseller today	+ Factory lists direct	+ Factory Node	+ Prepaid pre-order batch
Scenario	Existing: buys via a wholesaler, ships, stocks	Step 1: no wholesaler mark-up	Step 2: bulk drop; node packs, ships, grades	Proposed: make confirmed orders + 15%
Per 100 shipped: failed deliveries	14.0	14.0	14.0	4.6
Delivered	86.0	86.0	86.0	95.5
Returned by buyers (8%)	6.9	6.9	6.9	7.6
Kept (paid for)	79.1	79.1	79.1	87.8
Goods, net of resold returns (₹)	105.1	83.2	82.1	81.1
Unsold stock written down	7.1	5.6	5.6	0.9
Logistics: forward + pack / node fee	72.4	72.4	70.9	68.4
Customer-return fees (₹150 each)	13.0	13.0	13.0	13.0
Working capital (18% a year)	2.8	2.2	2.2	0.4
Cost per pack kept	200.5	176.5	173.9	164.0
Lowest viable price (9% margin)	₹220	₹194	₹191	₹180
Gap vs ₹209 demand-weighted median	-5.4%	7.2%	8.5%	13.8%
Clears the 8% gate (≤ ₹192)?	× no	× no	✓ yes	✓ yes

Highest making cost that clears the gate: ₹78.7 → ₹80.9 → ₹90.7 (+15%): the levers widen the pool of factories that qualify.

One prepaid batch of 1,000 packs at ₹182, stage by stage

Stage	What happens	₹
1 • Pre-order window	1,000 confirmed; make 1,150 (+15%)	₹1,82,280 order value
2 • Handover at node	30% advanced by the NBFC	+₹54,684
3 • Delivery	46 failed (4.6%) • 76 returned	878 kept
4 • Revenue on kept orders	878 × ₹182.3	₹1,60,067
5 • Fees	forward ₹40,089 • node ₹20,000 • returns ₹11,454	-₹71,543
6 • Payout, 7 days after delivery	net of fees; repays the advance	₹88,524
7 • Balance to the factory	payout – advance	+₹33,840

Where the ₹45 per pack goes (pre-order vs a reseller at ₹209)

₹45 = ₹36.5 lower cost (no wholesaler, node, batches) + ₹8.5 reseller margin

Buyer ₹26.7 • 59%

Factory ₹18.3 • 41%

• Buyer: pays ₹182 instead of ₹209.
• Factory: earns ₹18.3 a pack vs ₹7.9 selling ex-factory (2.3×).
• Meesho: earns per order, not per rupee: ₹5.8 per C2M order (page 10).

Assumptions (every input carries an [A#] in Appendix B)

Factory

Making cost ₹80 a pack [A22]
Margin 9% on price [A23]
Capital 18% a year [A30]

Market

Demand-weighted median ₹209 [S10]
Gate -8% = ₹192
Pre-order ₹10 off [A32]

Logistics

Forward ₹55 self / ₹42 node
Packing ₹10 • node fee ₹20 [A28]
Wholesaler +15% [A24]

Returns

Failed 14% (4.6% prepaid)
Returned 8% of delivered [A25]
₹150 return fee • ₹0 RTO fee

Stock

Unsold 10% vs 2% [A31]
Salvage 50% • recovery 85%/90%
45 vs 10 inventory days [A30]

Decision: price pre-orders at the gate less ₹10 (₹182), funded by the factory’s ₹11 batch saving. Owner: Pricing + Category • KPI: factory margin ≥ ₹18 a pack.

Sources: S10 (₹209 demand-weighted median), S11 (₹150 return fee, ₹0 RTO fee), S12, S13 | Assumptions: A10, A11, A20, A22–A32 (making cost ₹80 to confirm in interviews) | Workings: Appendix C

9

₹75 cr NPV at 12% and payback in Year 3; NPV stays positive down to 45% of planned seller yield

FINANCIAL ANALYSIS

Five-year case (₹ cr, nominal; NPV = sum of the PV row)

	Year 1	Year 2	Year 3	Year 4	Year 5
Average active sellers [A3]	200	700	1,050	1,300	1,450
C2M NMV, year average [A4]	140	700	1,260	1,853	2,066
Placed orders (mn)	9	45	81	119	133
Incremental orders × ₹7.3 [A8]	2.6	13.2	23.8	34.9	39.0
Fewer failed deliveries × ₹60 [A11]	2.6	12.8	23.0	33.8	37.7
Benefit to Meesho	5.2	26.0	46.8	68.7	76.7
People [A13, A14]	3.6	6.0	7.2	7.8	7.8
Cluster onboarding [A15]	5.0	3.0	2.0	2.0	0.0
Demand Brief [A16]	6.0	3.0	3.0	3.0	3.0
Factory Nodes [A17]	7.8	2.6	2.6	2.6	0.0
Returns pool, grants, first-loss [A18-A20]	3.4	1.9	3.2	4.7	5.2
Programme cost	25.8	16.5	18.0	20.1	16.0
Net cash flow	-20.6	9.5	28.7	48.6	60.7
Discount factor at 12%	0.893	0.797	0.712	0.636	0.567
PV at 12%	-18.4	7.6	20.4	30.9	34.4

NPV at 12%

₹74.9 cr

NPV at 15%

₹66.1 cr

IRR

105%

Payback

Year 3

Discounted payback

Year 3

Year-1 cash (+ people)

₹22.2 cr (+₹3.6 cr)

Break-even and scenarios

NPV = 0 at 45% of planned seller yield (49% of planned benefit). Positive even with zero incremental orders (₹1 cr) or no failed-delivery saving (₹9 cr): each lever alone almost repays the programme.

Bear -₹10 cr

20% incremental · 8-pt gap · 75% yield

Base ₹75 cr

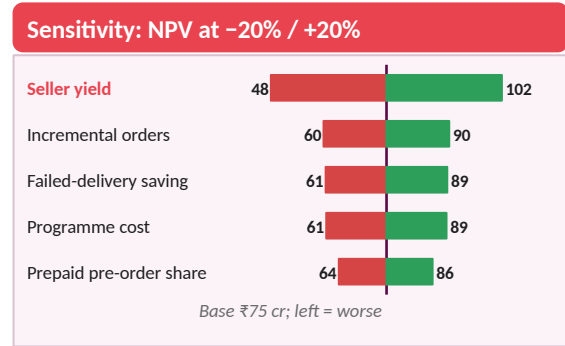
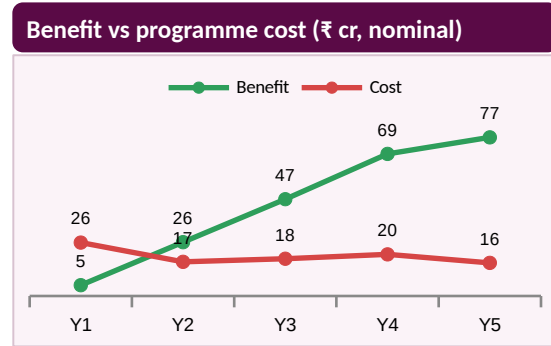
40% incremental · 15-pt gap · plan yield

Bull ₹140 cr

55% incremental · 20-pt gap · 110% yield

Opportunity: what each phase is worth (exit run-rates)

	Pilot · Day 90	Year 1 exit	Year 4 exit
Clusters · nodes · active sellers	2 · 1 · 60	5 · 6 · 450	12 · 12 · 1,400
Run-rate NMV (× ₹1.425 cr per seller)	₹85.5 cr	₹641 cr	₹1,995 cr
Share of FY26 NMV	0.2%	1.5%	4.8%
C2M orders a day (share of Meesho's)	15,000 (0.2%)	1,13,000 (1.4%)	3,52,000 (4.4%)
Buyer savings a year (8-12% gap)	₹7.4 cr-₹11.7 cr	₹55.8 cr-₹87.4 cr	₹173 cr-₹272 cr
Meesho value a year	₹3.2 cr	₹23.8 cr	₹74.0 cr



What changed since Round 1, and how money is released

Round 1: ₹156 cr NPV counted contribution on every C2M order. Round 2 counts only the 40% that are incremental, plus fewer failed deliveries (₹75 cr); if every order were incremental: ₹186 cr. Value per C2M order = 40% × ₹7.3 + ₹2.8 = ₹5.8.

Day 0-30

₹0: badge test on existing order data

Day 31-90

₹7.3 cr: 2 clusters, Brief build, 1 node, pool seed

Q2-Q4

₹14.9 cr: 3 clusters, 5 nodes, Brief run

Decision: approve ₹22.2 cr of Year-1 cash as a capped H2 bet, released at the Day-30 and Day-90 gates. Owner: Finance · KPI: Year-1 C2M NMV ≥ ₹140 cr.

Three gated phases take C2M from a ₹0 price test to 1,400 factories; Year 1 needs ₹22.2 cr of capped cash

EXECUTION

Phase × workstream: a concrete action in every cell

Workstream	Owner	Days 0-30 · prove the gap	Days 31-90 · pilot	Q2-Q4 · Wave 2	Years 2-4 · scale
Price screen	Pricing	Medians in 9 categories; badge + holdout	Weekly re-score; badge-off rule live	Gate in all Wave 2 categories	Gate is the default listing check
Supply	Category	Shortlist C2M-ready sellers	Tiruppur + Panipat camps: 60 factories	+ Ludhiana, Rajkot, Erode: 450	12 clusters: 1,400 factories
Demand	Data Science	Brief prototype on order data	Briefs live in 5 categories	Pre-order window in all briefs	Briefs refresh weekly, all 9
Operations	Valmo	Partner-warehouse quotes, Tiruppur	1 Factory Node (after Day 30)	6 nodes; returns end at nodes	12 nodes, one per cluster
Money	Finance	₹0 capex	NBFC partner; 30% advances	Returns pool; first-loss 1%	Graduate to the H1 budget
Scale-up rules	Growth	Health Score baseline	Grants + rulebook live	≤ 2 reviewers per 1,000 sellers	Meesho Mall path for graduates
Gate		Day 30: lift ≥ 12% (interval > 0), ≥ 70% still clear at D14	Day 90: 3 of 4: SLA, returns at node, retention ≥ 70%, category NMV ≥ base	Each wave opens only if the last held its Day-90 numbers	H2 → H1 on adoption and retention [S1]

KPI targets by phase (north star: C2M NMV still clearing the 8% gate)

KPI	Day 30	Day 90	Year-1 exit	Year-4 exit
Active C2M sellers	Shortlist	60	450	1,400
Run-rate C2M NMV	—	₹85.5 cr	₹641 cr	₹1,995 cr
C2M NMV still clearing the gate	≥ 70%	≥ 70%	≥ 75%	≥ 80%
Badge lift vs holdout (NMV per live SKU)	≥ 12% (prototype 18.2%)	≥ 12%	—	—
Prepaid share of C2M orders	—	≥ 37%	≥ 68.5%	≥ 68.5%
Factory retention at Day 90	—	≥ 70%	≥ 75%	≥ 75%
Cumulative programme cash	₹0	₹7.3 cr	₹22.2 cr	₹55.9 cr

Top risks, sorted by likelihood × impact

Risk	L	I	Guardrail	Owner
The gap was a promotion	H	H	Day-30 stop rule; badge off below 4%	Pricing
Export recovery pulls factories back	H	M	Batches fill idle capacity between export runs	Category
Quality falls with price	M	H	Suspend at > 1.5× return norm; QC hold	Category
Node or advances read as inventory control	L	H	Seller keeps title; NBFC lends; 3PL fees at arm's length	Legal
Re-rank starves resellers	L	M	≤ 20% of category impressions; category NMV guardrail	Growth

The ask

Budget ₹22.2 cr cash in Year 1 (+₹3.6 cr people), capped as an H2 bet; ₹0 until Day 30

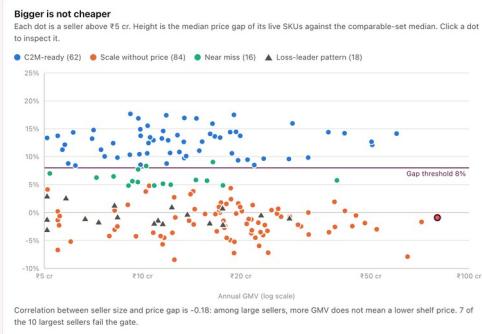
Decisions (1) run the Day 0-30 badge test with a holdout; (2) name owners in Pricing, Category, Valmo, Finance; (3) sign a Tiruppur partner warehouse and an NBFC; (4) publish the price-gap badge as a ranking parameter before 1 Jan 2027

Dates Day 0: 2 Nov 2026 · Day 30: 2 Dec 2026 · Day 90: 31 Jan 2027

Go / no-go badged NMV per live SKU ≥ 12% above holdout, ≥ 70% still clearing at D14

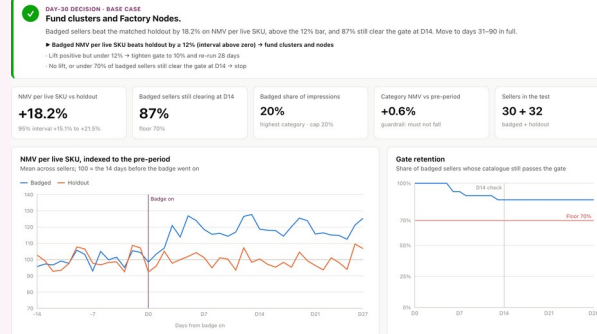
The working prototype runs every rule in this deck end to end, on synthetic data that mirrors Meesho's order tables

APPENDIX A



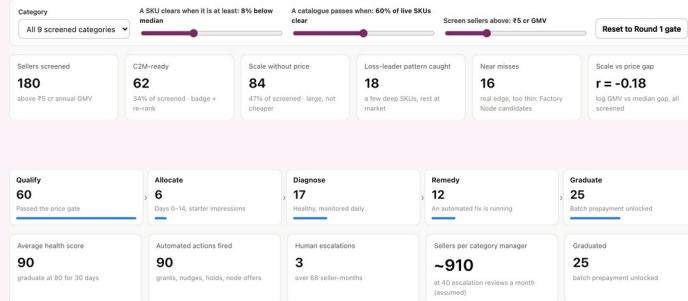
1 • Price Truth Index supports p8

Size vs price gap for every seller above ₹5 cr: $r = -0.18$; 7 of the 10 largest fail



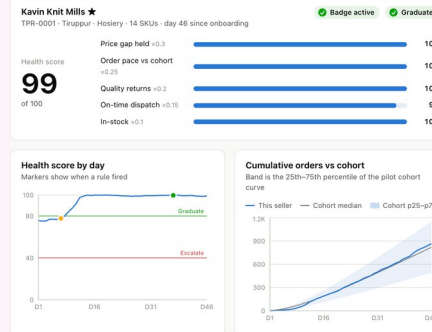
2 • Day-30 readout supports p11

Badged vs holdout: +18.2% (interval +15.1% to +21.5%) → fund



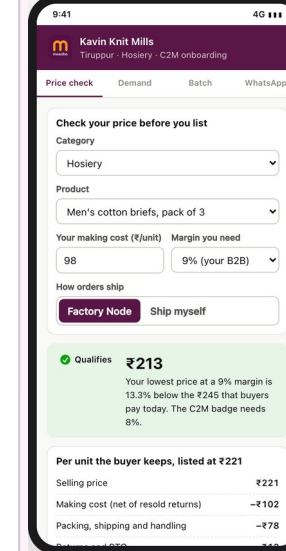
3 • Gate controls + Seller Health stages supports p7, p8

Gate sliders re-score every seller; 60 pilot sellers by stage



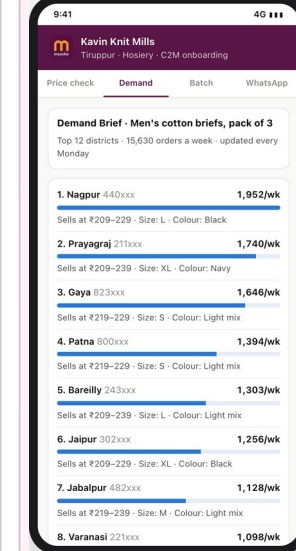
4 • One seller's Health Score supports p7

Five signals, the rule that fired, the next action



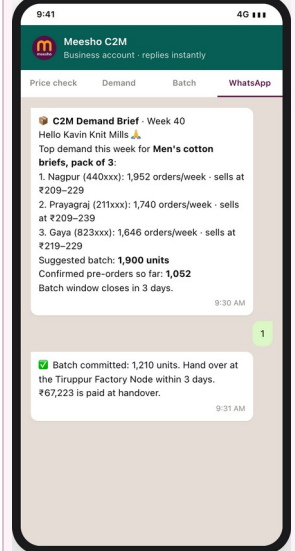
5 • Manufacturer app: price check

Lowest viable price vs market median, before listing supports p4, p9



6 • Demand Brief + batch

District demand → batch size → one-tap commit supports p4, p7



7 • WhatsApp nudges

Grant applied, batch confirmed, payout dates supports p7



Open it live: meesho-dice-c2m-iitb.vercel.app

Mirror: prathmesh-28.github.io/c2m-control-tower • Offline: one HTML file in prototype/dist-single

Every figure in the deck traces to a numbered source [S#] or a registered assumption [A#] in one master model

APPENDIX B

Sources [S#] (publisher • title • date)

S1 Meesho: Q1 FY27 Shareholders' Letter (quarter to 30 Jun 2026) (Aug 2026)
S2 Meesho: Q4 FY26 earnings call transcript (6 May 2026)
S3 Deccan Herald; Apparel Resources; Inc42: Meesho FY26 results coverage (May 2026)
S4 ICRIER: Annual Survey of MSMEs in India 2025 (n = 2,365, Fig. 16) (Mar 2025)
S5 Ministry of MSME: S.O. 1364(E): revised MSME limits (21 Mar 2025)
S6 RBI: OBICUS, Q2 FY26: capacity utilisation 74.3% (Oct 2025)
S7 Udyam portal (team pull); PIB: Udyam registrations (Jun 2026; 28 Feb 2026)
S8 The Federal; Deccan Herald: Tiruppur output, exports, tariff impact (2025–26)
S9 The Tribune: Panipat textile industry hit by weak demand, high costs (17 Aug 2026)
S10 Team teardown: meesho.com search: 279 live listings, 5 product types (2 Oct 2026)
S11 Shiprocket; Robnu: Meesho seller fee guides (return fee, RTO policy) (2026)
S12 Shiprocket: Fulfilment pricing: ₹24 per order, 500–3,000 orders a month (2026)
S13 GoKwik via Base; TrackVid: COD vs prepaid RTO benchmarks (industry estimates) (2026)
S14 Flipkart newsroom; Business Standard: 0% commission moves (Amazon, Flipkart) (Nov 2025 – 8 Jul 2026)
S15 KrASIA: Pinduoduo New Brand Initiative (end-2019 figures) (2020)
S16 Tech Buzz China: Temu Watch #6: semi-managed share of GMV (27 Dec 2024)
S17 Reuters via FashionNetwork: Shein tried to turn Brazil into a production hub (Feb 2026)
S18 Inc42: MSME-TEAM: ₹277 cr to onboard 5 lakh MSMEs onto ONDC (2024)
S19 Khaitan & Co; LexOrbis: Press Note 2 (2018); E-Commerce Amendment Rules 2026 (2018; Sep 2026)
S20 Finnovate; Zappchai (DRHP-based): Meesho category mix estimates (2025)
S21 Apparel Resources: Tiruppur rewires its growth playbook (owner interviews) (25 Jun 2026)
S22 Team 23B0747: Round 1 research: 24 interviews, cluster AHP, sizing funnel, category screen (Sep 2026)
S23 Xinhua: Taobao C2M: 10 bn new orders for factories in 3 years (27 Mar 2020)
S24 Alibaba Group: December Quarter 2021 Results (Taobao Deals) (23 Feb 2022)
S25 AFP via Malay Mail: Shein statement on 100–200 item first batches (24 Mar 2024)
S26 Bank of Baroda: E-commerce business loans for marketplace sellers (2026)

Assumption register [A#] (value • source • confidence H/M/L)

ID	Assumption	Value	Source	C
A1	Mature NMV per C2M seller	₹1.425 cr	S22	M
A2	Year-4 capture of SAM	12%	S22	M
A3	Average active sellers, Y1–Y5	200 → 1,450	Team plan	M
A4	NMV per seller, Y1–Y5 (₹ cr)	0.70 → 1.425	Team plan	M
A5	Typical target factory turnover	₹25 cr	S5	L
A6	Meesho NMV in C2M categories	40%	S20	L
A7	Price gap passed to buyers	8%–12%	S22	M
A8	Incremental share of C2M orders	40%	Team	L
A9	C2M GMV per order vs average	10%	A7	M
A10	Prepaid pre-order share	50%	survey	L
A11	Failed-delivery gap, COD vs prepaid	15 pts	S13	L
A12	Meesho cost per failed delivery	₹60	S11, S13	L
A13	Loaded cost per FTE-year	₹0.3 cr	Team	M
A14	Programme FTE, Y1–Y5	12 → 26	Team plan	M
A15	Clusters (year-end); onboarding cost	5 → 12; ₹1 cr each	S22	M
A16	Demand Brief cost, Y1–Y5	₹6 cr, then ₹3 cr	S22	M

ID	Assumption	Value	Source	C
A17	Nodes (year-end); set-up; life	6 → 12; ₹1.3 cr; 5 yrs	Team	L
A18	Returns firewall pool	₹3 cr; then 0.1% of NMV	S22	L
A19	Grant valuation; impressions	₹75 CPM; 50,000 impr.	Team	L
A20	NBFC advance; Meesho first-loss	30%; 1%	S26	L
A21	Discount rate; stress rate	12%; 15%	S22	M
A22	Making cost, briefs 3-pack	₹80	interviews	L
A23	Target margin on price	9%	S22	M
A24	Wholesaler mark-up	15%	Team	L
A25	Hosiery: failed deliveries; returns	RTO 14%; returns 8%	Team	L
A26	Return fee to seller	₹150	S11	M
A27	Failed-delivery fee to seller	₹0	S11	M
A28	Logistics fees, self / node	₹55/42 fwd; ₹10/20	S11, S12	L
A29	Value recovered, self / node	85% / 90%	Team	L
A30	Capital cost; inventory days	18%; 45 vs 10 days	S4	M
A31	Unsold share; salvage value	10% vs 2%; salvage 50%	Team	L
A32	Pre-order discount (7–8 days)	₹10	survey	L

Method and sample

Teardown [S10]: meesho.com search, 2 Oct 2026; first 56 listings per query; 279 listings, 5 product types; demand weight = review count; plastics query returned none and was dropped.
Interviews [S22]: 24 owners (8 per cohort, Round 1) + 3 published owner interviews [S21].
Buyer survey: [FILL: n, dates, quotas achieved vs target (≥ 150; ≥ 30 per tier); stated intent counted at 50%]
Power: 62 sellers × 28 days, SE ≈ 1.6 pts, MDE ≈ 4.5% at 80% power.

Workings index (formula → page)

Sizing: NMV = sellers × ₹1.425 cr; savings = NMV × g ÷ (1 – g) → p3, p10
Unit cost: (make + unsold – resold + logistics + returns + capital) ÷ kept → p9
Benefit: orders × (incremental × ₹7.3 + Δfailed × ₹60) → p10
Δfailed: pre-order share × (1 – 37%) × 15 pts = 4.7 pts → p10
AHP: geometric means, CR = (λ – 5) ÷ 4 ÷ 1.12 → p8, Appendix C
RICE: reach × impact × confidence ÷ effort → p6

Detailed benchmarking, compliance by design and the model workings behind pages 3, 8 and 9

Detailed benchmarking: KPI × company (dated, sourced) and how Meesho uses it

	Pinduoduo NBI	Taobao C2M	Temu semi-managed	Shein	Shein Brazil
Year of data	End-2019	2020; Dec 2021	Q3 2024	Mar 2024	Apr 2023 – Feb 2026
Factories / merchants	900+ in C2M production	1,000 “super factories” targeted	+80,000 planned for 2025	Network (not disclosed)	336 signed of 2,000; 1 producing
Demand data to factories	✓ anonymised	✓ consumer insight	– platform prices	✓ real-time	×
Who holds stock	Factory	Factory	Merchant, local warehouse	Shein	Factory
Batching	Custom runs	C2M runs	—	100–200 item first runs	Large runs, fast
Price lever	Demand scale	Finance + insight	Platform-set	Small batches	~30% price-cut asks
How Meesho uses it	Demand Brief	NBFC prepayment	Seller-owned node	Pre-order batches	Never ask for cuts

Compliance by design

Rule	Requires	Our design
Press Note 2 (2018)	Marketplace may not own or control seller inventory	Seller keeps title at the node; Valmo sells warehousing at arm's length
Press Note 2 (2018)	Fair, non-discriminatory services; no exclusivity	Badge and grants are published rules any seller can meet
E-Commerce Rules, 2026 amendment (from 1 Jan 2027)	Ranking parameters by importance; sponsored labelled	Publish the price-gap badge as a ranking parameter; grants are organic, never sold
Dark-pattern guidelines (2023)	No false urgency or hidden terms	“Ships in 7–8 days, ₹10 off” shown before payment
DPDP Act (2023)	Protect personal data	Demand Briefs use district aggregates only
GST	Stock at a third-party site	Node registered as the seller's additional place of business

Cohort scoring behind the personas (page 3)

Cohort	Price edge 30%	Pool size 25%	Fixable 20%	Speed 15%	New supply 10%	Score
A · Offline B2B	5	5	4	2	5	4.35
C · Churned	4	2	5	5	1	3.55
B · Online elsewhere	3	3	2	4	4	3.05

Rubric (5 =): price edge: sells ex-factory B2B · pool: > 50% of SAM · fixable: all HIGH barriers fixable · speed: KYC + catalogue on Meesho · new supply: new to Meesho. *Equal weights give the same order (4.2 / 3.4 / 3.2).*

AHP workings (CR 0.016)

Method: reciprocal 1–9 matrix → geometric mean of each row → weight = mean ÷ sum of means.

Consistency: $\lambda_{\max} = 5.072$; $CI = (\lambda_{\max} - 5) \div 4 = 0.018$; $CR = CI \div 1.12 = 0.016 < 0.10$.

Check: weights 0.338 / 0.256 / 0.179 / 0.144 / 0.083 reproduce Round 1's cluster scores (Tiruppur 4.68, Panipat 4.52).

Robustness: Surat overtakes Panipat only above a 0.67 demand weight.

Unit-economics workings (per 100 shipped)

Kept units = $100 \times (1 - RTO) \times (1 - \text{returns}) = 79.1$ (prepaid: 87.8)

Unsold = extra units made $\times$ cost $\times (1 - 50\% \text{ salvage})$; 10% build-to-stock vs 2% batch

Logistics = delivered $\times$ forward fee + shipped $\times$ packing (₹10) or node fee (₹20)

Capital = make cost $\times 18\% \times \text{days} \div 365$ (45 vs 10 days)

Floor = cost per kept $\div (1 - 9\%) \rightarrow$ proposed ₹164.0 $\div 0.91 = ₹180.2$

Reconciliation checks NPV ₹74.9 cr = Σ PV row (page 10) ✓ · Year-4 NMV ₹1,853 cr (average 1,300 sellers) vs ₹1,995 cr exit run-rate (1,400) ✓ · batch payout ₹88,524 = revenue – fees ✓ · RICE order = dependency order ✓